



Figure 66.2 A symmetrical triangle with an upward breakout. Price closes outside the triangle but returns before the apex. In this instance, price not only returned but shot out the other side. Numbers mark the various trendline touches. A dead-cat bounce sees price tumble \$5 in 1 day, then bounce up, and eventually move lower.

Breakout direction. The breakout can be in any direction, including meandering horizontally, but it often follows the prevailing price trend (upward breakout in an upward trend or downward breakout in a downward trend). However, it's near random. Don't try to guess the breakout direction. You might hurt yourself.

Duration. Symmetrical triangles can be any length, but the minimum length is 3 weeks. Anything shorter than 3 weeks and it could be a pennant. A pennant, however, is only valid if it rests on a flagpole, so if you have a 2-week pattern without a pole, then it's a symmetrical triangle.

Figure 66.3 shows two patterns. The one on the left is not a valid symmetrical triangle.

Why?

It forms beginning from the minor low at point A and rises to the minor high at point B. Then price declines following the top trendline and reaches